accumulation and natural resources)[28] or overly burdensome costs of registering[29] lead to persistent informal employment.

- As per the 'voluntary' view, firms and workers decide on whether to become formal by comparing the perceived costs of being formal with its perceived benefits. In this setting, labour institutions, taxation, and regulations primarily explain the prevalence of informal employment, by effectively increasing the costs of formality. At a cross-country level, countries with more burdensome entry regulations have larger informal sectors.[30] The labour laws of India may incline firms to go for informal arrangements, rely more on capital instead of labour, or limit their scale in order to remain outside of the formal sector altogether. This issue has been discussed in the next sub-title *'Labour Laws as Impediments'*).

iii. Consequences of Informality

The high rate of informality in India is a drag on its economic development and a source of considerable inequity.

- Productivity differences between workers in the formal and informal sectors are large, suggesting that moving a worker from an informal to a formal firm would bring about sizeable gains from improved allocation of resources.
- Rough estimates suggest that an informal job in the formal sector has double the value added than an informal job in the informal sector. And importantly, the value added per worker in a formal job within the formal sector is almost ten times that in an informal job in the formal sector. Therefore, loosely speaking, the benefits of moving into contracts within the formal sector are likely to be substantial and significantly higher than the gains from moving an informal-sector worker into an informal job within the formal sector.[31]
- Besides earning less, informal workers are also more vulnerable to violations of basic human rights such as reasonable working conditions and safety at work. With little job security and limited access to safety nets, most of the informally employed remain